



This case was written by Professor Senthil Kumar S, Institute of Management Technology Nagpur. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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Examining Employee Attrition in ConnectX Solutions Pvt. Ltd through Survival Analysis Technique

Background

ConnectX Solutions Pvt. Ltd. is a leading call center company based in India, specializing in providing comprehensive customer support and business process outsourcing (BPO) services to clients worldwide. Established in 2005, ConnectX has become a trusted partner for businesses seeking to enhance customer engagement and streamline operations through efficient call center solutions. Although it is headquartered in Bengaluru in the heart of the country's technology hub, the company operates multiple delivery centers across India, including branches in Mumbai, Delhi, Chennai, and Hyderabad, enabling seamless scalability and regional coverage to meet client demands effectively.

ConnectX offers inbound call center services, handling customer inquiries, complaints, product support, and technical assistance across various industries such as telecommunications, e-commerce, healthcare, and finance. The company provides outbound calling services for lead generation, market research, sales, and customer retention campaigns. Skilled executives engage with prospects to promote products/services, conduct surveys, and nurture leads to grow business. ConnectX serves a diverse clientele comprising global enterprises, small and medium-sized businesses (SMBs), startups, and entrepreneurial ventures spanning various industries, including telecommunications, technology, retail, healthcare, hospitality, and financial services. The company's client portfolio includes Fortune 500 companies and emerging brands seeking scalable, cost-effective outsourcing solutions.

ConnectX deployed state-of-the-art infrastructure with advanced telecommunications technology and robust IT systems to ensure seamless connectivity, data security, and uninterrupted service delivery. The company leverages cloud-based solutions, predictive dialers, CRM platforms, and workforce management tools to optimize operations and enhance agent productivity.

ConnectX prioritized employee welfare and fostered a conducive work environment that promoted teamwork, diversity, and professional growth among its employees. The company invested in learning and development programs and career advancement opportunities to empower its workforce.

HR issues with call center agents

Call center agents are the individuals who talk to clients over the phone. They report to team leaders (*Ref. Appendix 1*). They are in charge of managing client interactions in a way that advances the objectives of the call center as well as their performance objectives. Agents are crucial to a call center because they can either positively or negatively impact clients' interactions.

Key Performance Indicators of Call Center Agents

ConnectX measures the performance of its agents using the following criteria.

- a) Logged hours
- b) Call length
- c) First-call resolution
- d) Conversion per contact
- e) Professionalism

Performance Reviews and Raises

ConnectX conducts regular performance reviews, during which employees may receive merit-based raises or promotions based on their performance, skills development, and tenure with the company.

Reward system followed by ConnectX

Base Salary: Agents receive a fixed base salary. This base salary is dependent on the level of the position, experience, and the geographic location of the call center.

Incentives/Bonuses: Incentives or bonuses are provided on performance criteria such as call resolution time, customer satisfaction scores, sales targets, or upselling/cross-selling success. These bonuses are paid yearly.

Shift Differentials: ConnectX operates 24/7, so employees working non-standard hours such as nights, weekends, or holidays may receive a higher rate of pay for working during less desirable times.

Overtime Pay: Employees become eligible for overtime pay once they work more than the standard 40 hours per week. Overtime pay typically ranges from 1.5 to 2 times the regular hourly rate.

Commissions (for Sales Roles): Agents focused on sales or outbound calling receive commissions on top of their base salary for successfully closing deals or meeting sales targets. Commissions can be structured as a percentage of sales revenue or as a flat rate per sale.

Benefits Package: All the employees receive a benefits package, which includes health insurance, retirement plans, paid time off (such as vacation days and sick leave), and other perks like employee discounts or wellness programs.

High Staff Attrition Rate

The company experienced high employee attrition despite offering competitive compensation and benefits packages, leading to increased recruitment costs and disruptions in service delivery. People often are late or absent, or last-minute demands such as training divert agents away from their primary call-handling duties.

The high staff attrition rate among its five branches is a significant challenge for Rohit, the HR Director of ConnectX. The firm finds it challenging to hit both its service-level goals and ideal occupancy levels. Repetitive tasks, strict performance metrics, and high-pressure environments characterized call center roles. Only certain groups of people who enjoy such work and work environment could continue to work and become productive in the long run. However, some employees whose personalities and career interests were not aligned with this type of work contributed to their burnout and

dissatisfaction, leading to frequent resignations. Employee turnover impacted overall productivity and operational effectiveness. Although ConnectX followed a common performance appraisal and reward system across all of its branches, it also provided a good amount of freedom to each branch manager to implement HR practices that they deem fit to motivate and engage employees. Rohit decided to investigate the causes of attrition, paying close attention to branch-level HR practices and recruiting sources. His preliminary analysis highlighted differences in HR practices among the branches. Chennai branch in particular implemented the following HR practices which were unique.

- a) Peer-to-peer recognition
- b) Offering a hand-written note with detailed praise
- c) Providing a personal acknowledgment and a small token of appreciation
- d) Allowing agents to work on their preferred shifts

Other branches tried to implement flexible shifts to their agents unsuccessfully. Rohit decided to collect all the relevant data to understand what works best and not. His team collected the following data to understand the underlying causes of employee attrition at the branch level.

- a) Length of service: Recording each employee's tenure from their date of joining.
- b) Branch: Identifying the specific location where each employee is stationed.
- c) Recruitment Source: Document the channels through which employees were recruited, such as campus placements, job portals, referrals, etc.

Decision Time

The data are stored in a turnover.csv file. Rohit must analyze the data and obtain actionable insights into employee attrition.

The coding scheme is as follows

1. Status (*1 – terminated, 0 – currently employed*)
2. Branch (*1 – Pune, 2 – Noida, 3 – Chennai, 4 – Bhubaneswar, 5 – Bengaluru*)
3. Recruitment Source (*1 – Company Career site, 2 – Job sites, 3 – Referral, 4 – Social Media, 5 – Employment Agency*)

Length of service is calculated in months up to two decimal places using the formula (date of termination – date of hire) / (365.25 / 12).

Appendix 1: Organizational Chart - ConnectX Solutions Pvt. Ltd.,